Service (1983) in order to expand Bhutan's external contacts. All these steps account for attempts made by Bhutan to come out of India's influence and assert itself internationally. However, unlike in Nepal, where the 1950 Treaty with India is subject of great political controversy and nationalist resentment for decades, the nature of Bhutan's relationship with India has not been affected by concerns over the Treaty provisions and differences between India and Bhutan in certain cases.

Thereafter, relation between Bhutan and India which started-off due to their mutual need of preservation of their respective national interests has come a long way and has become stronger. India has maintained a position of neutrality regarding more than 20 years long Lhotshampa refugee crisis, whereby Bhutanese Royal Government drove out a large section of its population who are of Nepalese origin from southern Bhutan. The reason is obviously geo-strategic, political and security considerations which have been discussed above. Most importantly, India refrains herself from antagonizing Bhutan, which had launched operations against anti-Indian insurgents operating from its soil from 2003 to 2004. Furthermore, as long as China remains a potential threat to India, Bhutan will figure prominently in Indian foreign policy posture.

On the whole, relations between India and Bhutan has been one of peace and amity. There has been a number of Treaties between the two countries pertaining to matters of trade and commerce and also extradition. The Treaties in place are the Indo-Bhutan Trade Treaty of 1972, the Chukha Hydropower Project Agreement of 1974, Indo-Bhutan Trade Treaty of 1995, the Extradition Treaty with India of 1997. Bhutan began its planned economic development growth in 1961. The First Five Year Plan was launched in 1961. Since then India has provided generous financial assistance for Bhutan's Five year Plans. Tala Hydro Electric Project, Kurichu Hydro Electric Project and Dungsum Cement Plant are three major projects which were taken up during the VII Five Year Plan. Other important projects were Sankosh Multipurpose and Bunakha Projects, Hospitals, Paro Airport Development Project, Renovation of Punakha Dzong and Pasakha-Monitar Road, Indo-Bhutan Microwave link, Exploration of Mineral Resources and Survey and Mapping. In August 2003, during